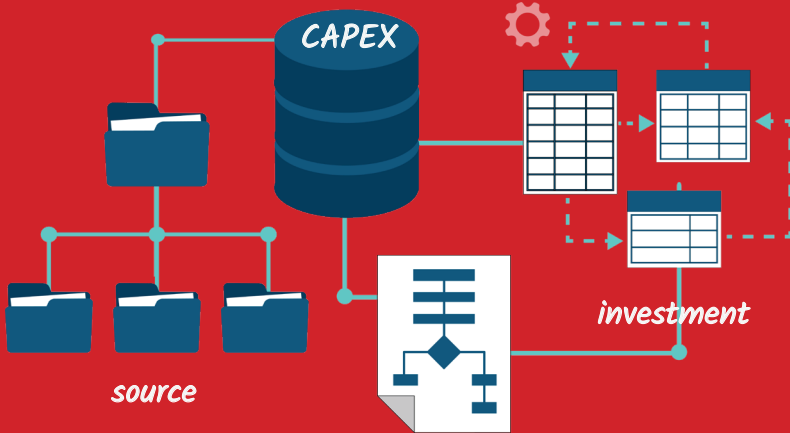


As analysts, it is important to know the source of capital, where it is being invested, and whether or not the entire capital allocation is effective. CAPEX shows the direction in which the company is growing.



5 CAPEX/PAT

What part of profits is being invested as CAPEX by the company is measured by the **CAPEX/PAT** number. For steady companies, lower the number, better it is. For fast growth companies, the profits would be low and the investment requirement would be high. As a result, this ratio should not be used for fast growing companies or startups.

CFI Ratios						
CFI/CFO	-0.54	-1.11	0.05	-0.61	0.08	-1.21
Operating Capex/CFO	-0.18	-0.15	-0.22	-0.30	-0.35	-0.25
FCF	416.33	-85.15	835.29	331.49	1382.41	-296.05
Capex/ PAT	0.21	0.14	0.18	0.27	0.40	0.31

As seen, the number is around 25-40% which is a good sign. The company thus does not need any external capital. The company can use the surplus profits in a manner they want to by distributing dividends, repaying loans, etc.

With this we have understood the Cash flow from Investing Activities by the company. Questions that we have answered are-

1. How much re-investment is required by the company?
2. Does the company produce enough to meet its investment needs?
3. What is the direction of their investments?

These should explain Cash flow from Investing activities well for any given company. Next, let us move on to Cash flow from Financing Activities.